ABBREVIATIONS

CENTCOM	U.S. Central Command
Comptroller	Office of the Under Secretary of Defense for Comptroller
CSF	Coalition Support Funds
Defense	Department of Defense
FATA	Federally Administered Tribal Areas
IMF	International Monetary Fund
ODRP	Office of the Defense Representative to Pakistan

Congressional Requesters

Following the attacks of September 11, 2001, the United States began reimbursing coalition partners for their logistical and combat support of U.S. military operations in the global war on terror. These reimbursements, known as Coalition Support Funds (C SF), have reimbursed 27 coalition allies for incremental costs (i.e., costs above and beyond the partner country's normal operating costs) incurred in direct support of U.S. military operations. Pakistan is the largest recipient of CSF payments, receiving $5.56 billion of $6.88 billion (81 percent) of all CSF reimbursements as of May 2008. CSF is structured as a reimbursement mechanism whereby the U.S. Department of Defense (Defense) policy is to validate that support was provided, costs were incurred, and that these costs were incremental to a country's normal military operations.[1] In Pakistan, most of the reimbursements through CSF are intended to enable the government of Pakistan to attack terrorist networks in the Federally Administered Tribal Areas (FATA) and stabilize the border areas.[2] Congress granted the Secretary of Defense the authority to make CSF payments "in such amounts as the Secretary may determine in [his] discretion, based on documentation determined by the Secretary of Defense to adequately account for the support provided."[3] Any such determination by the Secretary shall be final and conclusive. Despite this broad authority, concerns have been raised, given the large amounts of CSF reimbursement payments to Pakistan, about the level of accountability and oversight over these funds.

This report focuses on (1) the extent to which Defense has consistently applied its guidance to validate the reimbursements claimed by Pakistan and (2) how the Office of Defense Representative to Pakistan's (ODRP) role has changed over time.

To address our objectives, we obtained information on CSF procedures from relevant officials at the Office of the Under Secretary of Defense for Comptroller (Comptroller), the Office of the Under Secretary of Defense for Policy, U.S. Central Command (CENTCOM), ODRP, and the State Department's Bureau of Political-Military Affairs. We also examined all CSF oversight documentation provided to us, including Pakistani government reimbursement claims, ODRP memos, CENTCOM validation memos, Comptroller evaluations, and other CSF documentation from February 2002 through February 2008 (February 2008 was when the latest claim, for March through June 2007, was reimbursed). To assess the application of current CSF guidance, we examined the CSF oversight documentation noted above from January 2004 through February 2008. We chose this time frame because a previous Defense Inspector General report had already examined the pre-January 2004 CSF oversight controls and made recommendations to improve oversight.[4] We evaluated these controls against all

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